

Gaussian-based Nobel Prizes to Myron Scholes and Robert C. Merton, who had improved on an old mathematical formula and made it compatible with the existing grand Gaussian general financial equilibrium theories—hence acceptable to the economics establishment. The formula was now “useable.” It had a list of long forgotten “precursors,” among whom was the mathematician and gambler Ed Thorp, who had authored the bestselling *Beat the Dealer*, about how to get ahead in blackjack, but somehow people believe that Scholes and Merton invented it, when in fact they just made it acceptable. The formula was my bread and butter. Traders, bottom-up people, know its wrinkles better than academics by dint of spending their nights worrying about their risks, except that few of them could express their ideas in technical terms, so I felt I was representing them. Scholes and Merton made the formula dependent on the Gaussian, but their “precursors” subjected it to no such restriction.*

The postcrash years were entertaining for me, intellectually. I attended conferences in finance and mathematics of uncertainty; not once did I find a speaker, Nobel or no Nobel, who understood what he was talking about when it came to probability, so I could freak them out with my questions. They did “deep work in mathematics,” but when you asked them where they got their probabilities, their explanations made it clear that they had fallen for the ludic fallacy—there was a strange cohabitation of technical skills and absence of understanding that you find in idiot savants. Not once did I get an intelligent answer or one that was not ad hominem. Since I was questioning their entire business, it was understandable that I drew all manner of insults: “obsessive,” “commercial,” “philosophical,” “essayist,” “idle man of leisure,” “repetitive,” “practitioner” (this is an insult in academia), “academic” (this is an insult in business). Being on the receiving end of angry insults is not that bad; you can get quickly used to it and focus on what is *not* said. Pit traders are trained to handle angry rants. If you work in the chaotic pits, someone in a particularly bad mood from losing money might start cursing at you until he injures his vocal cords, then forget about it and, an hour later, invite you to his Christmas party. So you become numb to insults, particularly if you teach yourself to imagine that the person uttering them is a variant of a noisy ape with little personal control. Just keep your composure, smile, focus on analyzing the speaker not the message, and you’ll win the argument. An ad hominem attack against an intellectual, not against an idea, is highly flattering. It indicates that the person does not have anything intelligent to say about your message.

The psychologist Philip Tetlock (the expert buster in [Chapter 10](#)), after listening to one of my talks, reported that he was struck by the presence of an acute state of cognitive dissonance in the audience. But how people resolve this cognitive tension, as it strikes at the core of everything they have been